

► **SUNIL BHARTI MITTAL** admits to not being the best person to lead a company in peaceful and good times. “That is why I leave it to people like Gopal [Vittal, MD & CEO, Bharti Airtel] to do that. But when there is a crisis, you’ll find me right in the centre of action because I can bring a lot of stability,” he says. Look back at the growth of Mittal’s telecom business, and you note that the Founder and Chairman of Bharti Enterprises has weathered many storms, including regulatory regimes, cut-price competition, and quicksands in Africa.

Mittal—whom the jury that decided the BT-PwC India’s Best CEOs picked as the Business Icon of the Year—is the only survivor from the mid-1990s when he was one of the pioneers of mobile telephony in India. Other pioneers sold out (one to him), big international names came and left, and the technology changed from bulky handsets with outrageous call rates to smartphones with dirt-cheap data used by everyone. Not a small achievement for a man with no background in telecom.

UP AND DOWN START

When Bharti Airtel went public in 2002, it was the first from the nascent mobile telephony sector to get listed. There was no ‘data’ story; the first smartphones and today’s ubiquitous Android operating system were five years away. Today, it is hard to find an Indian without a mobile number, a prerequisite to getting linked to government welfare schemes.

Bharti Airtel’s stock tanked to ₹19 about a year after listing from an offer price of ₹45. Apart from a large retail base, the company’s marquee investors were Singapore Telecommunications (Singtel) and Warburg Pincus. Then, Reliance Communications (RCom) launched its mobile services in December 2002 with aggressive tariffs and handsets at a throwaway ₹500.

Crisis. At Airtel’s Agra conclave in 2003 with 40-odd top officials, the view was that it should go all out to fight the challenge. Recalling that discussion, Mittal says he thought differently since the new entrant “was too strong for a company of our size to deal with”. But convincing his team was not easy. “The best thing for us is to wait it out. Let’s just lie on the ground and let this storm pass,” he stressed. Focus on getting close to the customer by building quality, he said. “That’s exactly what happened in 12 months. They started to make mistakes, and our share price went to ₹1,100-1,200 in 18 months.”

Hemendra Kothari, Chairman of DSP Investment Managers, one of the bankers to Bharti Airtel’s public offering, recalls: “It was difficult to market the issue, but Mittal convinced the investors. Today, it is a very different company with enormous scale.” Kothari gives Mittal credit for bringing in “high-quality investors” like Singtel and Warburg Pincus. “He has the ability to

Business Icon of the Year

SUNIL BHARTI MITTAL

FOUNDER AND CHAIRMAN, BHARTI ENTERPRISES

Revenue from operations	FY23	1,39,144.8
	9MFY24	1,12,383.3
Profit before tax	FY23	16,560.7
	9MFY24	9,901
Profit after tax	FY23	12,287.4
	9MFY24	6,489.8
	FY23 RoE (%)	17.08
	Market Cap	6,80,717.6

- Data is on a standalone basis; all figures in ₹ crore except RoE; 9MFY24: April-December 2023
- M-cap as of February 23, 2024
- Source ACE Equity, BSE

➤ Epic Ride

- ➊ Bharti Airtel commenced cellular operations in 1995 by launching in the Delhi circle
- ➋ The company went public in 2002 and the share price tanked to less than half its offer price; currently, it is one India’s most valuable companies. The stock closed at ₹1,126.70 as of February 23
- ➌ It withstood by the aggressive launch of Reliance Communications in late 2002 and again in 2016 by Reliance Jio
- ➍ Mittal’s calm management style has steered the company through many a crisis
- ➎ His ability to plan ahead, think out of the box, and invest in people have often helped to keep the company ahead of its peers
- ➏ Mittal’s next bet is OneWeb—a network of more than 600 small satellites for communications—that he calls the last frontier